John Hancock Life Insurance Company (U.S.A.)
A Stock Company

**Corporate Office:**
**[201 Townsend Street,**
**Suite 900,**
**Lansing, Michigan**
**48933]**

LIFE INSURED [John J. Doe]
POLICY NUMBER [12 345 678]
PLAN NAME [Protection Indexed UL]

**FLEXIBLE PREMIUM INDEXED UNIVERSAL LIFE INSURANCE POLICY**

ADJUSTABLE DEATH BENEFIT

INDEXED-LINKED INTEREST OPTION

BENEFIT PAYABLE ON LIFE INSURED'S DEATH

FLEXIBLE PREMIUMS PAYABLE TO AGE 121 DURING THE LIFE INSURED'S LIFETIME

NON-PARTICIPATING (NOT ELIGIBLE FOR DIVIDENDS)

BENEFITS, VALUES, PERIODS OF COVERAGE AND PREMIUMS ARE ON AN INDETERMINATE BASIS

Subject to the conditions and provisions of this policy, if the Life Insured dies while this policy is In Force, John Hancock Life Insurance Company (U.S.A.) ("the Company") agrees to pay the Insurance Benefit to the beneficiary in a lump sum, which may include placing the Insurance Benefit in an interest-bearing account in the name of the beneficiary that provides immediate access to all of the account, and to provide the other benefits, rights, and privileges, if any, of the policy. If the Company makes other plans of payment available other than a lump sum, then a beneficiary may request payment under such plans in lieu of a lump sum.

The Insurance Benefit is described in Section 4.

**Your Net Premiums are added to the Policy Value. You may allocate them to one or more of the Indexed Accounts included within the Index Appreciation Account and/or to the Guaranteed Interest Account, subject to Section 9 and any other applicable provisions of the policy.**

**While the portion of the Policy Value in the Index Appreciation Account may be affected by an external index or indices, the policy does not participate in any stock or equity investment. The elements and the method used to calculate any Index Segment Interest Credit for each Indexed Account is shown in Section 1.**

**Interest on the portion of your Policy Value that is in the Guaranteed Interest Account is credited on an indeterminate basis at rates of interest that may increase or decrease and are not guaranteed as to a fixed dollar amount. Such rates will not be less than the Minimum Guaranteed Interest Account Annual Rate shown in Section 1.**

**The amount of the Insurance Benefit, or the duration of the insurance coverage, or both, may increase or decrease as described in Section 4.**

**Communications about this policy may be sent to the Company's Service Office, which is currently at [200 Berkeley Street, Boston, Massachusetts, 02116-5023. Our toll-free number is 1-800-387-2747].**

**READ YOUR POLICY CAREFULLY. It is a contract between you and us.**

**RIGHT TO RETURN POLICY. If for any reason you are not satisfied with your policy, you may return it for cancellation by delivering or mailing it to us or to an agent of the Company. If this policy does not replace another policy, you may return it within [TEN] days after receiving it, or if it replaces another policy, you may return it within THIRTY days after receiving it [or any longer period required by applicable law in the state where this policy is delivered or is issued for delivery]. We will refund in full the payment made. The policy will be void from the beginning and the parties shall be in the same position as if no policy had ever been issued.**

Signed for the Company by:

[ **President** ]

[ **Secretary** ]

SAMPLE

## Policy Provisions

**Section**


1. Policy Specifications
2. Table of Rates
3. Definitions
4. Insurance Benefit
5. Face Amount
6. Premiums
7. Policy Value
8. Loan Account, Guaranteed Interest Account, and Index Appreciation Account
9. Allocations and Transfers
10. Loans
11. Surrenders and Withdrawals
12. Grace Period
13. Policy Termination
14. Reinstatement
15. Coverage at and after Age 121
16. Owner and Beneficiary
17. Assignment
18. Misstatements
19. Suicide
20. Incontestability
21. The Contract
22. Right to Postpone Payment of Benefits
23. Claims to Creditors
24. Reports to Owners
25. How Values are Computed
26. Interest on Proceeds
27. Qualification as Life Insurance
28. Conformity With Interstate Insurance Product Regulation Commission Standards


SAMPLE

## 1. POLICY SPECIFICATIONS

| | | | |
|---|---|---|---|
| **Life Insured** | [JOHN DOE] | | |
| **Plan Name** | [Protection Indexed UL] | **Policy Number** | [12 345 678] |
| **Age at Policy Date** | [35] | **Issue Date** | [July 1, 2023] |
| **[Sex]** | [MALE] | **Policy Date** | [July 1, 2023] |
| **Risk Classification** | [Standard] [Non Smoker] | | |
| **Additional Ratings** | [not applicable] | | |
| **Owner, Beneficiary** | As designated in the application or subsequently changed | | |
| **Death Benefit Option at Issue** | [Death Benefit Option 1] | | |
| **Life Insurance Qualification Test** | Cash Value Accumulation Test | | |
| | | Face Amount at Issue | $ [500,000] |
| **Jurisdiction of Issue** | [Alaska]<br>[Division of Insurance Telephone Number: 1-907-269-7900] | | |

SAMPLE

**PREMIUMS AT ISSUE**

| | |
|---|---|
| **Minimum Initial Premium** | $ [81.03] |
| **Premium Mode** | [Annual] |
| **Planned Premium** | $ [5,000.00 per year] |

**Notice:** This policy provides life insurance coverage for the lifetime of the Life Insured if sufficient premiums are paid. Premium payments in addition to the Planned Premium shown may need to be made to keep this policy and coverage In Force. After the Life Insured reaches Age 121, no further premium payments are payable.

Keeping the policy and coverage In Force will be affected by factors such as: changes in the current Cost of Insurance rates; the amount, timing and frequency of premium payments; the interest rate being credited to the Guaranteed Interest Account and Index Appreciation Account; the amount of any Policy Value Credit applied to the Guaranteed Interest Account and the Index Appreciation Account; changes to the Death Benefit Option; changes in the Face Amount; loan activity; withdrawals; and deductions for any applicable supplementary benefit riders that are attached to, and made a part of, this policy. Also refer to the Death Benefit Protection feature under your DBP Benefit, Grace Period provision in Section 12, and Policy Termination provision in Section 13.

At a minimum, this policy will provide coverage until Policy Month [6], Policy Year [55], if all Planned Premiums shown above are paid when they are due, and you do not take any policy loans or withdrawals and there are no other policy changes. For purposes of the preceding statement we have assumed maximum policy charges and minimum credited interest.

SAMPLE

## OTHER BENEFITS AND SPECIFICATIONS

[Death Benefit Protection Rider]

SAMPLE

## POLICY VALUE CALCULATION

### POLICY CHARGES:

**Deductions from Premium Payments**

**Premium Charge** A percentage of each premium payment, the percentages as shown below.

| Policy Years | Percentage |
|---|---|
| 1-10 | 35% |
| 11+ | 32% |

**Monthly Deductions**

**Administrative Charge** $15.00

**Face Amount Charge** A monthly charge that is a rate per $1,000 of Face Amount. The rates are shown below. This charge does not apply to any increase in Face Amount due to a Death Benefit Option change.

| Policy Years | Rate |
|---|---|
| 1-3 | [0.0693] |
| 4-[15] | [0.0693] |
| [16]+ | 0.0000 |

**Cost of Insurance Charge** Determined in accordance with Section 7. Maximum Monthly Cost of Insurance Rates are shown in Section 2.

The Maximum Monthly Cost of Insurance Rates are no greater than those derived from the appropriate sex distinct or unisex tables used as the basis for the minimum cash surrender values, as described below.

**Indexed Performance Charge** A charge that is equal to [0.00165] multiplied by the Policy Value in the Capped and High Capped Indexed Accounts plus [0.00070] multiplied by the Policy Value in the Barclays Global MA Plus Indexed Account.

**Advance Contribution Charge** Determined in accordance with Section 7. The Advance Contribution Charge Rates are shown below.

| Policy Years | Advance Contribution Charge Rate | Policy Years | Advance Contribution Charge Rate |
|---|---|---|---|
| 1 | [0.001917] | 7 | [0.000767] |
| 2 | [0.001725] | 8 | [0.000575] |
| 3 | [0.001533] | 9 | [0.000383] |
| 4 | [0.001342] | 10 | [0.000192] |
| 5 | [0.001150] | 11+ | 0.000000 |
| 6 | [0.000958] | | |

SAMPLE

**POLICY VALUE CALCULATION (continued)**

**Other Charges**

**Surrender Charge**

This charge is deducted from the Policy Value during the Surrender Charge Period. See Section 11 for details of when a Surrender Charge applies.

The Surrender Charge is equal to (a) minus (b) minus (c), with the result multiplied by the applicable percentage from the table below, where:

(a) is the Initial Surrender Charge shown in this Section 1; and

(b) is 0.0158 multiplied by the sum of premiums received in the first Policy Year;

(c) is the sum of the total Advance Contribution Charges deducted in the first Policy Year.

In no event, however, will the Surrender Charge be less than zero.

The Surrender Charge will reduce over the Surrender Charge Period until it becomes zero. The table below shows the applicable percentage at the beginning of each Policy Year during the Surrender Charge Period. The Percentage of Surrender Charge is proportionately reduced each month of the Policy Year. In the event that the policy terminates at the end of a Grace Period and is reinstated, the Surrender Charge Period will be as described in Section 14.

| Surrender Charge Period (Policy Year) | Maximum Percentage of Surrender Charge |
|---|---|
| 1 | 100.00% |
| 2 | [98.20]% |
| 3 | [96.56]% |
| 4 | [94.90]% |
| 5 | [93.23]% |
| 6 | [77.69]% |
| 7 | [62.15]% |
| 8 | [46.61]% |
| 9 | [31.07]% |
| 10 | [15.53]% |
| 11+ | 0.00% |

**Minimum Cash Surrender Values**

[We base any minimum Cash Surrender Values on the sex-distinct 2017 Loaded CSO Smoker Distinct Ultimate (ANB) mortality tables, with substandard ratings as applicable.]

**Supplementary Benefit Rider Charges**

Charges for applicable supplementary benefit riders are shown in that rider's provisions and/or specification page(s).

SAMPLE

**POLICY VALUE CALCULATION (continued)**

**OTHER TERMS AND CHARGES:**

**Refer to your policy provisions for details on the terms and values shown in this table.**

| | |
|---|---|
| Minimum Face Amount | $50,000 |
| Minimum Face Amount Decrease | $50,000 |
| Minimum Guaranteed Interest Account Annual Rate | 1.0% |
| Cumulative Guaranteed Interest Rate | 2.0% |
| Index Appreciation Account Values | See the Indexed Account Specification Pages following the Policy Value Calculation Section |
| Loan Interest Charged Annual Rate | As defined in Section 10 |
| Maximum Loan Interest Charged Annual Rate | 15% |
| Maximum Loan Interest Credited Differential | |
| Policy Years 1-10 | 1.25% |
| Policy Years 11+ | 0.25% |
| Minimum Loan Amount | $500 |
| Asset Bonus | 0.05% |
| Asset Bonus Commencement Year | Beginning in Policy Year 11 |
| Minimum Withdrawal Amount | $500 |
| Death Benefit Discount Factor | 1.0008295 |
| Initial Surrender Charge | $ [14,750.00] |
| Partial Surrender Charge Decrease Exemption | 10% |
| Advance Contribution Limit | $[3,760.00] |
| Policy Value Credit Factor A Limit Rate | 0.30 |

SAMPLE

## 2. TABLE OF RATES – Policy [12 345 678]

**MAXIMUM MONTHLY COST OF INSURANCE RATES AND MINIMUM DEATH BENEFIT FACTORS**

The Maximum Monthly Cost of Insurance Rates per dollar of Net Amount at Risk ("Rates") are shown below for each Age. The Rates shown have been adjusted for any applicable Additional Ratings that are applied to the Cost of Insurance Rates as shown in Section 1. The Rates apply to the Risk Classification of the Life Insured on the Issue Date.

When the Life Insured reaches Age 121 and above, the Rate is 0.0000000 and the Minimum Death Benefit Factor is 1.0000.

| Age | Rates | Minimum Death Benefit Factors | Age | Rates | Minimum Death Benefit Factors |
|---|---|---|---|---|---|
| 35 | 0.0000126 | 3.2973 | 79 | 0.0032871 | 1.5108 |
| 36 | 0.0000249 | 3.2333 | 80 | 0.0037150 | 1.4838 |
| 37 | 0.0000314 | 3.1710 | 81 | 0.0042182 | 1.4564 |
| 38 | 0.0000361 | 3.1103 | 82 | 0.0047848 | 1.4283 |
| 39 | 0.0000408 | 3.0508 | 83 | 0.0054487 | 1.4003 |
| 40 | 0.0001192 | 2.9926 | 84 | 0.0062246 | 1.3728 |
| 41 | 0.0001259 | 2.9384 | 85 | 0.0071351 | 1.3459 |
| 42 | 0.0001343 | 2.8853 | 86 | 0.0082008 | 1.3195 |
| 43 | 0.0001418 | 2.8333 | 87 | 0.0094428 | 1.2937 |
| 44 | 0.0001493 | 2.7823 | 88 | 0.0108684 | 1.2683 |
| 45 | 0.0001526 | 2.7323 | 89 | 0.0124411 | 1.2434 |
| 46 | 0.0001593 | 2.6831 | 90 | 0.0141491 | 1.2190 |
| 47 | 0.0001643 | 2.6348 | 91 | 0.0159380 | 1.1951 |
| 48 | 0.0001710 | 2.5873 | 92 | 0.0177634 | 1.1717 |
| 49 | 0.0001785 | 2.5408 | 93 | 0.0196061 | 1.1487 |
| 50 | 0.0001877 | 2.4951 | 94 | 0.0213714 | 1.1262 |
| 51 | 0.0002019 | 2.4503 | 95 | 0.0229753 | 1.1041 |
| 52 | 0.0002194 | 2.4065 | 96 | 0.0250472 | 1.0825 |
| 53 | 0.0002403 | 2.3636 | 97 | 0.0273075 | 1.0613 |
| 54 | 0.0002620 | 2.3218 | 98 | 0.0298315 | 1.0405 |
| 55 | 0.0002838 | 2.2810 | 99 | 0.0325821 | 1.0201 |
| 56 | 0.0003038 | 2.2412 | 100 | 0.0355207 | 1.0000 |
| 57 | 0.0003231 | 2.2023 | 101 | 0.0383419 | 1.0000 |
| 58 | 0.0003431 | 2.1640 | 102 | 0.0412506 | 1.0000 |
| 59 | 0.0003666 | 2.1265 | 103 | 0.0441953 | 1.0000 |
| 60 | 0.0003959 | 2.0897 | 104 | 0.0471198 | 1.0000 |
| 61 | 0.0004352 | 2.0537 | 105 | 0.0499590 | 1.0000 |
| 62 | 0.0004838 | 2.0184 | 106 | 0.0526466 | 1.0000 |
| 63 | 0.0005383 | 1.9839 | 107 | 0.0566496 | 1.0000 |
| 64 | 0.0005995 | 1.9500 | 108 | 0.0610817 | 1.0000 |
| 65 | 0.0006658 | 1.9167 | 109 | 0.0660194 | 1.0000 |
| 66 | 0.0007371 | 1.8840 | 110 | 0.0715539 | 1.0000 |
| 67 | 0.0008136 | 1.8521 | 111 | 0.0778115 | 1.0000 |
| 68 | 0.0008986 | 1.8208 | 112 | 0.0833333 | 1.0000 |
| 69 | 0.0009946 | 1.7901 | 113 | 0.0833333 | 1.0000 |
| 70 | 0.0011076 | 1.7601 | 114 | 0.0833333 | 1.0000 |
| 71 | 0.0012418 | 1.7306 | 115 | 0.0833333 | 1.0000 |
| 72 | 0.0014024 | 1.7017 | 116 | 0.0833333 | 1.0000 |
| 73 | 0.0015897 | 1.6733 | 117 | 0.0833333 | 1.0000 |
| 74 | 0.0018036 | 1.6455 | 118 | 0.0833333 | 1.0000 |
| 75 | 0.0020428 | 1.6181 | 119 | 0.0833333 | 1.0000 |
| 76 | 0.0023057 | 1.5911 | 120 | 0.0833333 | 1.0000 |
| 77 | 0.0025959 | 1.5643 | 121+ | 0.0000000 | 1.0000 |
| 78 | 0.0029180 | 1.5376 | | | |

SAMPLE

## 2. TABLE OF RATES (continued) – Policy [12 345 678]

**POLICY VALUE CREDIT FACTOR A RATES ("PVC FACTOR A RATES") AND POLICY VALUE CREDIT FACTOR B RATES ("PVC FACTOR B RATES")**

The PVC Factor A and PVC Factor B Rates have been adjusted for any applicable Additional Ratings shown in Section 1. When the Life Insured reaches Age 121 and above, the PVC Factor A Rate is 0.0000. When the Life Insured reaches Age 100 and above, the PVC Factor B Rate is 0.0000.

| Age | PVC Factor A Rates | PVC Factor B Rates | Age | PVC Factor A Rates | PVC Factor B Rates |
|---|---|---|---|---|---|
| 35 | 0.5505 | 310.6268 | 79 | 0.3268 | 1.1103 |
| 36 | 0.3321 | 93.5729 | 80 | 0.3283 | 1.0741 |
| 37 | 0.3098 | 57.2677 | 81 | 0.3308 | 1.0448 |
| 38 | 0.3097 | 41.9962 | 82 | 0.3321 | 1.0148 |
| 39 | 0.3150 | 33.3269 | 83 | 0.3387 | 1.0057 |
| 40 | 0.3169 | 27.2078 | 84 | 0.3389 | 0.9798 |
| 41 | 0.3190 | 22.8438 | 85 | 0.3386 | 0.9553 |
| 42 | 0.3102 | 18.9272 | 86 | 0.3386 | 0.9345 |
| 43 | 0.3056 | 16.1445 | 87 | 0.3386 | 0.9166 |
| 44 | 0.3043 | 14.0918 | 88 | 0.3369 | 0.8964 |
| 45 | 0.3050 | 12.4382 | 89 | 0.3340 | 0.8778 |
| 46 | 0.3029 | 10.9724 | 90 | 0.3312 | 0.8648 |
| 47 | 0.3000 | 9.7278 | 91 | 0.3280 | 0.8575 |
| 48 | 0.2976 | 8.6941 | 92 | 0.3254 | 0.8603 |
| 49 | 0.2948 | 7.8023 | 93 | 0.3233 | 0.8762 |
| 50 | 0.2915 | 6.9075 | 94 | 0.3222 | 0.9125 |
| 51 | 0.2884 | 6.1521 | 95 | 0.3226 | 0.9821 |
| 52 | 0.2861 | 5.5225 | 96 | 0.3248 | 1.1171 |
| 53 | 0.2823 | 4.9533 | 97 | 0.3272 | 1.4012 |
| 54 | 0.2769 | 4.4345 | 98 | 0.3288 | 2.2518 |
| 55 | 0.2703 | 3.9686 | 99 | 0.3299 | 10.4000 |
| 56 | 0.2697 | 3.6433 | 100 | 0.3314 | 0.0000 |
| 57 | 0.2701 | 3.3676 | 101 | 0.3336 | 0.0000 |
| 58 | 0.2708 | 3.1232 | 102 | 0.3365 | 0.0000 |
| 59 | 0.2718 | 2.9051 | 103 | 0.3395 | 0.0000 |
| 60 | 0.2701 | 2.6808 | 104 | 0.3429 | 0.0000 |
| 61 | 0.2748 | 2.5378 | 105 | 0.3462 | 0.0000 |
| 62 | 0.2809 | 2.4187 | 106 | 0.3493 | 0.0000 |
| 63 | 0.2876 | 2.3134 | 107 | 0.3521 | 0.0000 |
| 64 | 0.2968 | 2.2341 | 108 | 0.3550 | 0.0000 |
| 65 | 0.3136 | 2.2116 | 109 | 0.3576 | 0.0000 |
| 66 | 0.3136 | 2.0756 | 110 | 0.3636 | 0.0000 |
| 67 | 0.3135 | 1.9503 | 111 | 0.3628 | 0.0000 |
| 68 | 0.3134 | 1.8353 | 112 | 0.3623 | 0.0000 |
| 69 | 0.3130 | 1.7280 | 113 | 0.3623 | 0.0000 |
| 70 | 0.3123 | 1.6280 | 114 | 0.3623 | 0.0000 |
| 71 | 0.3101 | 1.5292 | 115 | 0.3623 | 0.0000 |
| 72 | 0.3097 | 1.4474 | 116 | 0.3623 | 0.0000 |
| 73 | 0.3092 | 1.3724 | 117 | 0.3623 | 0.0000 |
| 74 | 0.3112 | 1.3146 | 118 | 0.3623 | 0.0000 |
| 75 | 0.3219 | 1.2968 | 119 | 0.3623 | 0.0000 |
| 76 | 0.3223 | 1.2407 | 120 | 0.3623 | 0.0000 |
| 77 | 0.3236 | 1.1926 | 121+ | 0.0000 | 0.0000 |
| 78 | 0.3252 | 1.1496 | | | |

SAMPLE

## 2. TABLE OF RATES (continued) – Policy [12 345 678]

**POLICY VALUE CREDIT COMPONENT B CUMULATIVE LIMIT**

For Age 100 and above, the Policy Value Credit Component B Cumulative Limit is $0.

| Age | Policy Value Credit Component B Cumulative Limit |
|---|---|
| 35 | $0 |
| 36 | $837 |
| 37 | $1,275 |
| 38 | $1,738 |
| 39 | $2,228 |
| 40 | $2,745 |
| 41 | $3,292 |
| 42 | $3,863 |
| 43 | $4,462 |
| 44 | $5,090 |
| 45 | $5,780 |
| 46 | $6,507 |
| 47 | $7,269 |
| 48 | $8,069 |
| 49 | $8,906 |
| 50 | $9,947 |
| 51 | $11,050 |
| 52 | $12,211 |
| 53 | $13,434 |
| 54 | $14,718 |
| 55 | $16,055 |
| 56 | $17,449 |
| 57 | $18,905 |
| 58 | $20,438 |
| 59 | $22,053 |
| 60 | $23,749 |
| 61 | $25,524 |
| 62 | $27,375 |
| 63 | $29,303 |
| 64 | $31,314 |
| 65 | $33,423 |
| 66 | $35,614 |
| 67 | $37,890 |
| 68 | $40,251 |
| 69 | $42,696 |
| 70 | $45,217 |

| Age | Policy Value Credit Component B Cumulative Limit |
|---|---|
| 71 | $47,800 |
| 72 | $50,434 |
| 73 | $53,104 |
| 74 | $55,800 |
| 75 | $58,509 |
| 76 | $61,230 |
| 77 | $63,958 |
| 78 | $66,678 |
| 79 | $69,377 |
| 80 | $72,045 |
| 81 | $74,631 |
| 82 | $77,142 |
| 83 | $79,387 |
| 84 | $81,532 |
| 85 | $83,550 |
| 86 | $85,408 |
| 87 | $87,080 |
| 88 | $88,587 |
| 89 | $89,689 |
| 90 | $90,272 |
| 91 | $90,272 |
| 92 | $90,272 |
| 93 | $90,272 |
| 94 | $90,272 |
| 95 | $90,272 |
| 96 | $90,272 |
| 97 | $90,272 |
| 98 | $90,272 |
| 99 | $90,272 |
| 100+ | $0 |

SAMPLE

## 3. DEFINITIONS

**Listed below are some terms that have specific meanings in your policy. Please refer to these definitions as you read your policy. Other terms may be defined in the body of your policy.**

**Additional Rating** means an adjustment to the underwriting class that is applied when a Life Insured does not meet, at a minimum, our underwriting requirements for the Standard Risk Classification.

**Adjusted Segment Crediting Balance** means a reference value that is maintained for each Segment of an Indexed Account and is used in the determination of the Index Segment Interest Credit. On the Segment Maturity Date, the Adjusted Segment Crediting Balance is equal to the Initial Segment Balance; less amounts deducted from the Indexed Account during the Segment Term for all Monthly Deductions, withdrawals, deductions due to accelerated death benefit payments under a supplementary benefit rider, and deductions for Surrender Charges incurred; plus any credits under the policy or a supplementary benefit rider allocated to the Indexed Account during the Segment Term. For purposes of this calculation, each deduction and addition is first multiplied by the ratio of the number of complete months remaining in the Segment Term after the date of the deduction and addition divided by the number of months in the entire Segment Term.

**Age** means, on any Policy Anniversary, the age of the Life Insured at their birthday nearest that date.

**Annual Processing Date** means every 12th Processing Date following the Policy Date.

**Business Day** means any day that we are open for business and the New York Stock Exchange is open for trading. We will deem each Business Day to end at the close of regularly scheduled trading of the New York Stock Exchange (currently 4:00 p.m. Eastern Time) on that day.

**Cash Surrender Value** means the Policy Value less the Surrender Charge.

**Closing Value** means a value of the Index at the end of a Business Day. If the date prior to a Segment Initiation Date or a Segment Maturity Date is not a Business Day, the Closing Value will be the value of the Index on the close of the previous Business Day.

**DBP Benefit** means the Death Benefit Protection Rider or Enhanced Death Benefit Protection Rider, whichever is applicable as shown under Other Benefits and Specifications in Section 1.

**Evidence of Insurability** means evidence satisfactory to us related to the current health, lifestyle, financial and other circumstances that may impact the insurability of the individual.

**Guaranteed Interest Account** means that part of the Policy Value, not in the Index Appreciation Account or the Loan Account, that receives a declared rate of interest.

**Holding Segment** means a portion of an Indexed Account which holds amounts allocated to that Indexed Account until these amounts are designated to the Segments. Amounts allocated to a Holding Segment receive interest in the same manner and at the same rate as amounts in the Guaranteed Interest Account.

**Index** means the external index for each Indexed Account as shown in Section 1.

**Indexed Account** means one of the accounts included within the Index Appreciation Account. Each Indexed Account is composed of one or more Segments and its Holding Segment. New Segments are created on a Segment Initiation Date, and mature at the end of the Segment Term, on the Segment Maturity Date. Indexed Accounts are shown in Section 1.

**Index Appreciation Account** means the portion of the Policy Value consisting of the sum of values in the Indexed Accounts.

**Index Change** means the percentage change in the value of the Index over the Segment Term. It is equal to (b) minus (a), the result divided by (a), expressed as a percentage, where:

(a) is the Closing Value of the Index on the Business Day prior to the Segment Initiation Date; and

(b) is the Closing Value of the Index on a Segment Maturity Date.

**Index Loan Principal** means the lien against the Index Appreciation Account due to a policy loan.

**Index Segment Interest Credit** means any interest that will be credited to the Segment Balance on the Segment Maturity Date. See Section 1 and Section 8 for details.

SAMPLE

## 3. DEFINITIONS (continued)

**Initial Segment Balance** means the Segment Balance on a Segment Initiation Date as described in Section 8.

**In Force** means that the policy has taken effect as described in Section 6 and has not terminated in accordance with the DBP Benefit, Section 12 (Grace Period), or Section 13 (Policy Termination), or been surrendered in accordance with Section 11.

**Issue Date** means the date shown in Section 1 of this policy from which the Suicide and Incontestability provisions are first applied.

**Loan Account** means that part of the Policy Value that reflects amounts transferred from the Guaranteed Interest Account or the Index Appreciation Account as collateral for a policy loan as described in Section 10.

**Lock In Date** means the date before which any new premium and Written Requests for allocation or transfer to the Index Appreciation Account must be received by us in order to be included in the determination of an Initial Segment Balance for a new Segment. The Lock In Date is shown in Section 1.

**Lock Out Period** means a period during which a restriction is imposed upon the creation of new Segments as described in Section 11. The Lock Out Period commences on the date of a withdrawal, that is not a Systematic Withdrawal, from a Segment of any Indexed Account prior to the Segment Maturity Date. The duration of the Lock Out Period is as shown in Section 1.

**Minimum Initial Premium** means the minimum premium needed to put the policy In Force as described in Section 6. When the Issue Date is on or before the Policy Date the Minimum Initial Premiums is as shown in Section 1.

**Net Amount at Risk** means an amount used for the purpose of calculating the Cost of Insurance Charges as described in Section 7.

**Net Cash Surrender Value** means the Cash Surrender Value less the Policy Debt.

**Net Premium** means the gross premium paid less any Premium Charge.

**Partial Surrender Charge Decrease Exemption Amount** at any time means the Partial Surrender Charge Decrease Exemption shown in Section 1, multiplied by the Face Amount at Issue, reduced by cumulative decreases in the Face Amount. This amount will never be less than zero.

**Participation Rate** means a rate used in calculating any Index Segment Interest Credit for an applicable Indexed Account. We will set the Participation Rate for a new Segment no later than three Business Days before the Segment Initiation Date. Once set by us, the Participation Rate for a Segment will not change during the Segment Term for the Segment to which it applies. The Participation Rate will never be less than the Minimum Participation Rate shown in Section 1.

**Planned Premium** means the premium that is stated in the application for the policy that is intended to be paid on a regular modal basis. It is shown in Section 1.

**Policy Date** means the **date** from which charges for the first Monthly Deductions are calculated. The Policy Date is shown in Section 1. Policy Years, Policy Months, and Policy Anniversaries are determined from the Policy Date.

SAMPLE

**Policy Debt** means as of any date (a) plus (b) plus (c), minus (d), where:

(a) is the total amount of loans borrowed as of such date;
(b) is the total amount of any unpaid loan interest charges borrowed against the policy on a Policy Anniversary;
(c) is any interest charges accrued from the prior Policy Anniversary to the current date; and
(d) is the total amount of loan repayments as of such date.

**Policy Value** means the sum of the values in the Loan Account, the Index Appreciation Account, and the Guaranteed Interest Account.

**Policy Year** means (a) or (b) below, whichever is applicable.

(a) The first Policy Year is the period beginning on the Policy Date and ending on the day immediately preceding the first Annual Processing Date.
(b) Each subsequent Policy Year is the period beginning on an Annual Processing Date and ending on the day immediately preceding the next Annual Processing Date.

**Processing Date** means the first day of a Policy Month. A Policy Month shall begin on the day in each calendar month that corresponds to the day of the calendar month on which the Policy Date occurred. The Policy Date is not a Processing Date. If the Policy Date is the 29th, 30th, or 31st day of a calendar month, then for any calendar month that has fewer days, the first day of the Policy Month will be the last day of such calendar month.

**Segment** means a portion of an Indexed Account in the Index Appreciation Account with a unique Segment Term.

**Segment Balance** means the portion of Policy Value in a particular Segment on a given date as described in Section 8.

**Segment Cap Rate** means a rate used in calculating any Index Segment Interest Credit for an applicable Indexed Account. We will set the Segment Cap Rate for a new Segment no later than three Business Days before the Segment Initiation Date. Once set by us, the Segment Cap Rate for a Segment will not change during the Segment Term for the Segment to which it applies. The Segment Cap Rate will never be less than the Segment Minimum Cap Rate shown in Section 1.

**Segment Floor Rate** means the minimum rate used in calculating any Index Segment Interest Credit. The Segment Floor Rate for each Indexed Account is shown in Section 1.

**Segment Growth Rate** means the rate of interest applied in the formula shown in Section 1, to calculate the applicable Index Segment Interest Credit.

**Segment Initiation Date** means the first day of a Segment Term. The Segment Initiation Date for each Indexed Account is shown in Section 1.

**Segment Maturity Date** means the last day of a Segment Term. The Segment Proceeds are computed on the Segment Maturity Date.

**Segment Proceeds** means for each Segment, the Segment Balance at the end of the day on the Segment Maturity Date plus any Index Segment Interest Credit.

**Segment Term** means the period of time a Segment exists from the Segment Initiation Date to the Segment Maturity Date. The Segment Term for each Indexed Account is shown in Section 1.

**Service Office** means the office that we designate to service this policy as shown on the front and back covers of your policy.

**Surrender Charge Period** means the period during which we will assess Surrender Charges. The Surrender Charge Period is shown in Section 1.

**Surrender Date** means the end of the Business Day on which we receive at our Service Office your Written Request for full surrender of the policy.

SAMPLE

## 3. DEFINITIONS (continued)

**Systematic Withdrawal** means one of a series of periodic withdrawals prescheduled with a defined start date, and either a defined end date or continuation until Written Request is given to terminate the schedule. If a scheduled Systematic Withdrawal is canceled after the schedule has begun, then any remaining withdrawals scheduled will also be canceled.

**We**, **us**, and **our** refer only to the Company.

**Written Request** means a request in a form satisfactory to us that is received at our Service Office; or, if permitted by our administrative practices, an e-mail received by us at the internet address specified by us for such requests.

**You** and **your** refer only to the owner of this policy.

## 4. INSURANCE BENEFIT

If the Life Insured dies while the policy is In Force, we will pay the Insurance Benefit upon receipt of due proof of death of the Life Insured, subject to any applicable provisions of the policy. If the Life Insured dies on or after the Surrender Date, no Insurance Benefit will be paid. However, we will instead pay any amount payable under the Surrenders and Withdrawals provision.

**Insurance Benefit**

The Insurance Benefit payable is the greater of (a) or (b), where:

(a) is the Minimum Death Benefit as described below minus any outstanding Policy Debt, both at the date of death of the Life Insured; and

(b) is an amount equal to (i) plus (ii) minus (iii), where:

- (i) is the Death Benefit as described below;
- (ii) is any death benefit payable under any supplementary benefit riders that have a cost of insurance charge that form part of the policy;
- (iii) is any outstanding Policy Debt at the date of death.

No amount of Index Segment Interest Credit will be credited if the Life Insured dies prior to a Segment Maturity Date.

If the Life Insured dies during a Grace Period, the Insurance Benefit will be reduced by any outstanding Monthly Deductions due as described in Section 12.

**Death Benefit**

The Death Benefit will depend on whether Death Benefit Option 1 or Death Benefit Option 2 is in effect on the date of the Life Insured's death.

**Death Benefit Options**

Under Death Benefit Option 1, the Death Benefit is equal to the Face Amount at the date of death of the Life Insured. Under Death Benefit Option 2, the Death Benefit is equal to the Face Amount at the date of death of the Life Insured plus the Policy Value at the date of death of the Life Insured.

If any withdrawals are made, the Death Benefit will be less than it would have been if no withdrawals were made (regardless of whether Death Benefit Option 1 or Death Benefit Option 2 is in effect). As described in Section 11, withdrawals reduce the Death Benefit by reducing:

(a) the Face Amount if Death Benefit Option 1 is in effect; or

(b) the Policy Value if Death Benefit Option 2 is in effect.

**Change of Death Benefit Options**

You may request in writing to change your Death Benefit Option from Death Benefit Option 2 to Death Benefit Option 1 at any time after the first Policy Year, while the policy is In Force. The change will be effective on the Processing Date following the date we approve the request, and the Face Amount after the change will be equal to the Face Amount immediately before the change plus the Policy Value as of the effective date of the change. Upon completion of your request, you will receive a policy amendment reflecting the requested change. You may not change your Death Benefit Option from Death Benefit Option 1 to Death Benefit Option 2 at any time.

SAMPLE

## 4. INSURANCE BENEFIT (continued)

### Minimum Death Benefit

If the sum of the Death Benefit as described above and any death benefit payable under any supplementary benefit riders that have a cost of insurance charge is less than the Minimum Death Benefit, we will use the Minimum Death Benefit when determining the Insurance Benefit payable. The Minimum Death Benefit on any date is equal to the Minimum Death Benefit Factor for the Age of the Life Insured multiplied by the greater of the Policy Value or the cash surrender value as defined in the federal income tax laws, on the date of death of the Life Insured. The Minimum Death Benefit Factors are shown in Section 2. However, at no time will the Minimum Death Benefit be less than the amount required to maintain qualification of this policy as a life insurance contract for federal income tax purposes. We reserve the right to modify the Minimum Death Benefit Factors shown in Section 2, retroactively if necessary, to maintain qualification of this policy as a life insurance contract for federal income tax purposes, notwithstanding any other provisions of this policy to the contrary.

To the extent that the Net Amount at Risk associated with the Minimum Death Benefit that results from this calculation exceeds our guidelines and limitations that may be in effect, we reserve the right to:

(a) distribute to you a portion of the Policy Value such that the Net Amount at Risk associated with the resulting Minimum Death Benefit does not exceed our guidelines and limitations in effect; or

(b) if we should decide to accept the additional Death Benefit, it will be subject to our approval in accordance with our normal underwriting practices including Evidence of Insurability.

## 5. FACE AMOUNT

The Face Amount at Issue is shown in Section 1.

### Increase in Face Amount

You may not increase the Face Amount under this policy. However, if you request a change in your Death Benefit Option from Death Benefit Option 2 to Death Benefit Option 1, it will result in an increase of the Face Amount. Refer to the Change of Death Benefit Options provision in Section 4.

### Reduction of Face Amount

You may request a reduction in Face Amount any time after the first Policy Year while this policy is In Force. The Minimum Face Amount Decrease is shown in Section 1. Without our prior approval, the Face Amount cannot be reduced below the Minimum Face Amount shown in Section 1. Any reduction in Face Amount will be effective on the next Processing Date after the date we approve the request for the decrease. Upon completion of your request, you will receive a policy amendment reflecting the requested change.

If you decrease the Face Amount during the Surrender Charge Period, we will deduct a pro-rata Surrender Charge from the Policy Value. A requested reduction in Face Amount is only allowed if the pro-rata Surrender Charge for the reduction is less than or equal to the Policy Value.

The pro-rata Surrender Charge deducted will equal (a) multiplied by (b), divided by (c), where:

(a) is the Surrender Charge that would have applied if the policy had been surrendered on the date the reduction in Face Amount takes effect;

(b) is the amount of the reduction in Face Amount that exceeds the Partial Surrender Charge Decrease Exemption Amount; and

(c) is the amount of Face Amount in effect immediately before the reduction, less any applicable Partial Surrender Charge Decrease Exemption Amount.

Each time we deduct the pro-rata Surrender Charge for a Face Amount decrease, we will reduce the remaining Surrender Charge in the same proportion that the Surrender Charge deducted bears to the total Surrender Charge immediately before the Face Amount decrease.

We will also deduct a pro-rata Surrender Charge if a withdrawal, as described in Section 11, results in a reduction in Face Amount. However, for purposes of calculating this Surrender Charge, we will assume the Partial Surrender Charge Decrease Exemption Amount is equal to zero.

SAMPLE

## 6. PREMIUMS

The Minimum Initial Premium is shown in Section 1. No insurance will take effect under this policy until our underwriters approve issuance of this policy and the conditions specified in the application form have been satisfied, including receipt of at least the Minimum Initial Premium at our Service Office.

In the event the Issue Date is later than the Policy Date, the Minimum Initial Premium due will be the Minimum Initial Premium shown in Section 1, plus an additional amount which is equal to the Minimum Initial Premium multiplied by the number of intervening Processing Dates.

Subsequent premiums can be paid on any Business Day at our Service Office, and in any amount subject to the limits described below. We reserve the right to limit the dollar amount of any premiums paid.

If coverage under the policy takes effect in accordance with the provisions of the application, we will process any premium payment as of the end of the Business Day the payment is received at our Service Office, unless one of the following exceptions applies.

(a) We will process a payment received prior to the Policy Date as if received on the Policy Date.
(b) We will process the portion of any premium payment for which we require Evidence of Insurability for the Life Insured on the first Business Day after we have received such evidence and found it satisfactory.
(c) If our receipt of any premium payment (or portion thereof) would cause the policy to be treated as a Modified Endowment Contract under federal income tax law, we will process the payment (or portion thereof) on the first Business Day only after we have received satisfactory written confirmation from you indicating you understand the consequences of the policy being treated as a Modified Endowment Contract.

You may pay premiums until the Life Insured reaches Age 121, at which time Monthly Deductions cease and no further premiums may then be paid.

If any premium payment would result in the Minimum Death Benefit exceeding the Face Amount, we reserve the right to either refund the premium or to require additional underwriting, including Evidence of Insurability, for any excess of the Minimum Death Benefit over the Face Amount.

**Continuation of Insurance Upon Discontinuance of Premium Payments**

Regardless of whether you continue paying premiums, we will continue taking the Monthly Deductions from the Policy Value until the Life Insured reaches Age 121. Your insurance coverage will continue subject to the DBP Benefit, Grace Period provision in Section 12, and Policy Termination provision in Section 13.

**Returned or Protested Payments**

The Company does not accept checks or other instruments unconditionally and therefore, any purported payment(s) submitted to the Company by check or any other instrument including a wire transfer, whether or not credited to the policy by the Company, which is returned or protested does not constitute payment. The Company undertakes no duty to notify any person of a returned or protested payment, except as may be required by applicable law. Any information about the policy, including but not limited to verifications of coverage and policy values provided in any form by the Company on account of such submission(s) is not valid and shall not constitute a waiver or estoppel with respect to any of the terms or conditions of the policy. Such submissions will not prevent or delay a default or termination and do not extend the time for payment or any Grace Period as provided for under the policy.

SAMPLE

## 7. POLICY VALUE

This is a flexible premium universal life insurance policy with an optional feature linking interest earned to an outside Index. The Index for each Indexed Account of the Index Appreciation Account is shown in Section 1. All Net Premiums are initially allocated to the Guaranteed Interest Account and the Index Appreciation Account, as applicable, according to your instructions. A Loan Account is created for any amounts transferred from the Guaranteed Interest Account or the Index Appreciation Account as collateral for loans. The Policy Value at any time is equal to the sum of the values you have in the Loan Account, the Guaranteed Interest Account, and the Index Appreciation Account. Descriptions of the Guaranteed Interest Account, Index Appreciation Account and the Loan Account can be found in Section 8.

**Net Premiums Added**

When we receive your premium payments at our Service Office, we deduct a Premium Charge as shown in Section 1, and then allocate the balance remaining (the Net Premium) to the Guaranteed Interest Account and the Index Appreciation Account, as applicable. We will do this before we take any other deductions due on that Business Day. We will add any Net Premiums received before the Policy Date to the Policy Value as of the Policy Date.

Allocation of the initial premium payment and any subsequent premium payments will be in accordance with the Premium Allocations provision of Section 9.

**Monthly Deductions**

A Monthly Deduction is due and will be taken from your Policy Value as of the Policy Date and as of each applicable subsequent Processing Date, including during a Grace Period. Monthly Deductions are calculated from the Policy Date. If, at your request, we set the Policy Date to a date that precedes the date on which we receive the premium at least equal to the Minimum Initial Premium, Monthly Deductions due for the period prior to receipt of the Minimum Initial Premium will be taken on the later of the date we receive the Minimum Initial Premium and the Issue Date.

We will take Monthly Deductions from the Guaranteed Interest Account and from each Indexed Account under the Index Appreciation Account in the same proportion that the Policy Value in each of the accounts bears to the total Policy Value net of the Loan Account immediately prior to the deduction. For the portion deducted from each Indexed Account of the Index Appreciation Account, we will take that part of the Monthly Deduction from each Segment of the Indexed Account and amounts in a Holding Segment in the same proportion those Segments and Holding Segments bear to the total portion of the Policy Value in the Indexed Account immediately prior to the deduction.

Monthly Deductions are due until the Policy Anniversary on which the Life Insured reaches Age 121, at which time we will cease to take any further Monthly Deductions as described in Section 15.

The Monthly Deduction for any Policy Month that will be deducted from the Policy Value consists of charges (a) through (f) listed below, where:

(a) is the Administrative Charge;
(b) is the Face Amount Charge, if any;
(c) is the sum of the charges for any supplementary benefit riders that do not have a cost of insurance charge;
(d) is the Cost of Insurance Charge;
(e) is the Advance Contribution Charge, if applicable; and
(f) is the Indexed Performance Charge, if applicable.

**Advance Contribution Charge**

The Advance Contribution Charge will be equal to the Advance Contribution Charge Rate, shown in Section 1, times the greater of zero or (a) minus (b), where:

(a) is the sum of the premiums paid to date; and
(b) is the Advance Contribution Limit multiplied by the current Policy Year.

Pursuant to the above formula, the Advance Contribution Charge will be equal to zero if the sum of the premiums paid to date is less than or equal to the Advance Contribution Limit times the current Policy Year.

SAMPLE

### Cost of Insurance Charge

The Cost of Insurance Charge, which includes the current cost of insurance rate for any supplementary benefit rider that has a cost of insurance charge, for a specific Policy Month is equal to the current Cost of Insurance Rate for that month multiplied by the Net Amount at Risk.

We may adjust the Cost of Insurance Rates, including the cost of insurance rates for any supplementary benefit rider that has a cost of insurance charge, at any time based on our expectations of future experience including mortality, persistency, investment earnings, expenses, taxes, reserve and capital requirements, and reinsurance costs. These rates, however, will never exceed the corresponding Maximum Monthly Cost of Insurance Rates shown in Section 2. Each Cost of Insurance Charge is deducted in advance of the applicable insurance coverage for which we are at risk.

### Net Amount at Risk

On the Policy Date and on each subsequent Processing Date we will determine a Net Amount at Risk used to calculate the Cost of Insurance Charge. The Net Amount at Risk is the amount determined by subtracting (a) from the greater of (b) or (c), where:

(a) is the Policy Value;
(b) is the Face Amount plus any death benefit payable under any supplementary benefit riders that have a cost of insurance charge, divided by the Death Benefit Discount Factor shown in Section 1, plus the Policy Value if Death Benefit Option 2 has been elected for this policy; and
(c) is the Minimum Death Benefit as defined in Section 4.

The values used to calculate the Net Amount at Risk, including the values used to determine the Minimum Death Benefit, are determined on the Processing Date after any Net Premium is applied and Monthly Deductions other than the Cost of Insurance Charge are taken.

### Other Deductions

We will deduct a Surrender Charge, as described in Sections 5 and 11, if during the Surrender Charge Period:

(a) you surrender this policy for its Net Cash Surrender Value;
(b) you withdraw part of the Net Cash Surrender Value;
(c) you request a reduction in the Face Amount that exceeds the Partial Surrender Charge Decrease Exemption Amount; or
(d) you do not pay the Default Payment described in Section 12, and your policy terminates.

### Change of Risk Classification and/or Additional Rating

Written Requests for a rate reconsideration to a more favorable underwriting class from your current Risk Classification and/or Additional Rating may be submitted to us after issue while this policy is In Force. If approved, these rate reconsiderations will become part of your policy. Our procedures for rate reconsiderations require completion of an application and Evidence of Insurability. If approved, your policy charges, credits, and values will be based on the new Risk Classification and/or Additional Rating. The change will be effective on the Processing Date following the date we approve the request. We recommend that you request and review a current policy illustration upon a change in Risk Classification and/or Additional Rating. For additional details, please contact your agent or our Service Office at the telephone number on the back of this policy. Approval of a more favorable Risk Classification and/or Additional Rating may require adjustments to limits under federal tax laws. We will notify you if premiums are required to be returned to you in order to avoid adverse tax consequences. Please consult a tax advisor before proceeding with the reclassification.

SAMPLE

### Policy Value Credit

On each Processing Date, we will apply a Policy Value Credit, if any, to the Policy Value. This Policy Value Credit is equal to the greater of (i) or (ii), where:

(i) is zero; and
(ii) is Policy Value Credit Component A, described below, minus Policy Value Credit Component B, described below.

In no event, however, will the Policy Value Credit exceed the Cost of Insurance Charge.

The values used to calculate the Policy Value Credit are determined on the Processing Date after any Net Premium is applied and Monthly Deductions are taken. The Policy Value Credit will be applied to the Indexed Accounts and the Guaranteed Interest Account proportionately in the same manner as Monthly Deductions are taken.

### Policy Value Credit Component A

Policy Value Credit Component A is equal to Policy Value Credit Factor A multiplied by the sum of the Face Amount and any death benefit payable under any supplementary benefit riders that have a cost of insurance charge at the time of the calculation. Policy Value Credit Factor A is equal to the lesser of (a) and (b), where:

(a) is equal to the Policy Value Credit Factor A Rate for the Age of the Life Insured, shown in Section 2, multiplied by the Cost of Insurance Rate for that month; and

(b) is equal to the Policy Value Credit Factor A Limit Rate, shown in Section 1, multiplied by the Maximum Monthly Cost of Insurance Rate for the Age of the Life Insured, shown in Section 2.

### Policy Value Credit Component B

Policy Value Credit Component B is equal to the greater of zero, or Policy Value Credit Component A minus the result of multiplying the Policy Value at the time of the calculation by Policy Value Credit Factor B. In no event, however, will Policy Value Credit Component B be less than zero or greater than the Policy Value Credit Component B Limit described below. When the Life Insured reaches Age 100 and above, Policy Value Credit Component B is zero.

Policy Value Credit Factor B is equal to the Policy Value Credit Factor B Rate for the Age of the Life Insured, shown in Section 2, multiplied by the Cost of Insurance Rate for that month. The Policy Value Credit Component B Limit is equal to the greater of zero, or the Policy Value Credit Component B Cumulative Limit for the Age of the Life Insured, shown in Section 2, minus the sum of the Policy Value Credit Component B amounts used in the calculation of the Policy Value Credit in all prior Policy Months.

### Cumulative Guarantee

This policy provides for a Cumulative Guarantee. The application of the Cumulative Guarantee may increase the amount of the Minimum Death Benefit, the Cash Surrender Value, and the Death Benefit available under the policy as described in the following paragraph, but does not increase the amount available for withdrawals or loans, nor does it affect the amount available for transfers or allocations described in Section 9.

SAMPLE

## 7. POLICY VALUE (continued)

For purposes of calculating the Minimum Death Benefit, the Cash Surrender Value and the Death Benefit, the Policy Value used will be the greater of (a) and (b), where:

(a) is the Policy Value determined as described above in this Section 7; and

(b) is the Cumulative Guarantee Policy Value which is determined in the same manner as the Policy Value except that:

  (i) Net Premiums are accumulated with interest at an annual effective rate that is equal to the Cumulative Guaranteed Interest Rate shown in Section 1, in the same manner applicable to amounts accumulated in the Guaranteed Interest Account;

  (ii) the Indexed Performance Charge that is deducted from the Cumulative Guarantee Policy Value will be determined by multiplying the Indexed Performance Charge that was deducted from the Policy Value in that month times the ratio of the Cumulative Guarantee Policy Value divided by the Policy Value, both determined immediately before Monthly Deductions are taken;

  (iii) the Net Amount at Risk used in calculating the cost of insurance charge deducted from the Cumulative Guarantee Policy Value is the amount determined by subtracting (a) from the greater of (b) or (c), where:

    (a) is the Cumulative Guarantee Policy Value;

    (b) is the Face Amount plus the Death Benefit payable under any supplementary benefit riders that have a cost of insurance charge, divided by the Death Benefit Discount Factor shown in Section 1, plus the Cumulative Guarantee Policy Value if Death Benefit Option 2 has been elected for this policy;

    (c) the Minimum Death Benefit Factor for the Age of the Life Insured multiplied by the Cumulative Guarantee Policy Value; and

  (iv) we calculate the Policy Value Credit for the Cumulative Guarantee in the same manner as we do for the Policy Value except we use the Cumulative Guarantee Policy Value instead of the Policy Value; and

  (v) the Asset Bonus is excluded from the calculation of the Cumulative Guarantee Policy Value.

## 8. LOAN ACCOUNT, GUARANTEED INTEREST ACCOUNT AND INDEX APPRECIATION ACCOUNT

The Loan Account reflects amounts transferred from the Guaranteed Interest Account or the Index Appreciation Account as collateral for all or a portion of the Policy Debt as described in Section 10.

**Loan Account**

The amount you have in the Loan Account at any time equals:

(a) amounts transferred to it from the Guaranteed Interest Account or the Index Appreciation Account; plus

(b) the portion of Segment Proceeds reallocated to it from an Indexed Account on the Segment Maturity Date; plus

(c) interest credited to it; less

(d) amounts transferred from it to the Guaranteed Interest Account or the Index Appreciation Account.

For details regarding loan processing, see Section 10.

SAMPLE

### Guaranteed Interest Account

The Guaranteed Interest Account is that part of the Policy Value, not in the Index Appreciation Account or the Loan Account that receives a declared rate of interest.

The portion of the Policy Value in the Guaranteed Interest Account at any time equals:

(a) the portion of Net Premiums allocated to it; plus
(b) amounts transferred to it from the Loan Account; plus
(c) amounts allocated to it from a maturing Segment or received from a cancellation as described in Section 9; plus
(d) interest credited to it; plus
(e) the portion of any Policy Value Credit allocated to it; plus
(f) Asset Bonus amounts allocated to it; less
(g) the portion of Monthly Deductions deducted from it; less
(h) amounts transferred from it to the Loan Account; less
(i) the portion of withdrawals, including any applicable charges taken from it; less
(j) amounts transferred from it to the Indexed Accounts.

### Interest

We may adjust the rate or rates of interest we credit to the Guaranteed Interest Account and to amounts in the Holding Segments at any time based on our expectations for future experience including investment earnings, persistency, mortality, expenses, taxes, reserve and capital requirements, and reinsurance costs. However, in no event will we credit interest at a rate that is less than the Minimum Guaranteed Interest Account Annual Rate shown in Section 1.

Beginning in the Asset Bonus Commencement Year, the rate of interest we credit to the Guaranteed Interest Account and to amounts in the Holding Segments will be increased by the Asset Bonus Annual Rate multiplied by the lesser of (a) and (b), where:

(a) is 1; and
(b) is the Face Amount divided by the Policy Value as of the date of this calculation.

The Face Amount used in the above calculation excludes any amounts payable as a result of the Life Insured's death under any supplementary benefit riders that form part of the policy. The Asset Bonus Commencement Year and Asset Bonus Annual Rate are shown in Section 1. When the Life Insured reaches Age 121 and above, the Asset Bonus Annual Rate is 0.00%. The Asset Bonus does not apply to the Loan Account.

Any interest to be credited to the Guaranteed Interest Account will be credited no less frequently than annually. Any interest credited to the Guaranteed Interest Account in excess of the Minimum Guaranteed Interest Account Annual Rate is nonforfeitable, except indirectly due to the application of the Surrender Charges.

### Index Appreciation Account

The Index Appreciation Account is that part of the Policy Value allocated to the Indexed Accounts shown in Section 1. Each Indexed Account is composed of one or more Segments and its Holding Segment. The Maximum Number of Segments applicable to an Indexed Account at one time is shown in Section 1. Amounts in a Holding Segment receive interest in accordance with the Interest provision in this Section. Each Individual Segment exists for a specified period of time, known as the Segment Term, and then ceases on the Segment Maturity Date.

The portion of the Policy Value in the Index Appreciation Account at any time equals the sum of the Indexed Account values.

### Indexed Account

The portion of the Policy Value in an Indexed Account at any time equals:

(a) the portion of Net Premiums allocated to it; plus
(b) amounts transferred to it from the Guaranteed Interest Account; plus
(c) amounts transferred to it from the Loan Account; plus
(d) the portion of Segment Proceeds allocated to it from another Indexed Account on a Segment Maturity Date; plus

SAMPLE

(e) any Index Segment Interest Credits added to it; plus
(f) the portion of any Policy Value Credit allocated to it; plus
(g) any Asset Bonus amounts added to it; plus
(h) interest credited to amounts in a Holding Segment; less
(i) the portion of the Monthly Deductions subtracted from it; less
(j) the portion of Segment Proceeds reallocated from it to the Guaranteed Interest Account, Loan Account, or another Indexed Account on the Segment Maturity Date; less
(k) the amounts directed from it to the Guaranteed Interest Account due to a cancellation, as described in Section 9; less
(l) the portion of any withdrawals, and any applicable charges, subtracted from it; less
(m) amounts transferred from it to the Loan Account.

**Initial Segment Balance**

Segments for an Indexed Account are created on a Segment Initiation Date as shown in Section 1. The Initial Segment Balance for each new Segment of an Indexed Account is equal to:

(a) the amounts in a Holding Segment on the Lock In Date, along with any interest credited to that amount; plus
(b) the portion of any Policy Value Credit added to (a) after the Lock In Date; less
(c) the portion of Monthly Deductions subtracted from (a) after the Lock In Date; less
(d) the portion of any withdrawals, and any applicable charges subtracted from (a) after the Lock In Date; plus
(e) the portion of any Segment Proceeds allocated to that Indexed Account from maturing Segments.

**Segment Balance**

The portion of the Policy Value in an individual Segment at any time on or after the Segment Initiation Date through the Segment Maturity Date equals:

(a) the Initial Segment Balance; plus
(b) the portion of any Policy Value Credit allocated to it; plus
(c) the portion of the Monthly Deductions subtracted from it; less
(d) the portion of any withdrawals, and any applicable charges, subtracted from it.

**Index Segment Interest Credit**

The portion of the Policy Value in an Indexed Account may increase on a Segment Maturity Date by the Index Segment Interest Credit. On the Segment Maturity Date, including during a Grace Period, the Index Segment Interest Credit is calculated using the formula for the applicable Indexed Account as shown in Section 1. No Index Segment Interest Credit will be credited if a Policy Termination, as described in Section 13, occurs prior to the end of a Segment Term.

Although no Index Segment Interest Credit is applied until the Segment Maturity Date, the Company maintains a balance for each Segment to record the amount estimated to pay an Index Segment Interest Credit on the next following Segment Maturity Date for that Segment. This balance is a reference value only and is not used in determining the actual Policy Value, Cash Surrender Value, or Insurance Benefit provided by this policy.

SAMPLE

## 8. LOAN ACCOUNT, GUARANTEED INTEREST ACCOUNT AND INDEX APPRECIATION ACCOUNT (continued)

### Segment Proceeds

The Index Segment Interest Credit and the Segment Balance are added together to form the Segment Proceeds. Beginning in the Asset Bonus Commencement Year the Segment Proceeds will be increased by the Asset Bonus Annual Rate for that Policy Year multiplied by the number of years in the Segment Term multiplied by (i) and (ii) where:

(i) is the lesser of (a) and (b), where:
  (a) is 1; and
  (b) is the Face Amount divided by the Policy Value.
(ii) is the Adjusted Segment Crediting Balance.

The Face Amount used in the above calculation excludes any amounts payable as a result of the Life Insured's death under any supplementary benefit riders that form part of the policy.

The Asset Bonus Commencement Year and Asset Bonus Annual Rate are shown in Section 1. When the Life Insured reaches Age 121 and above, the Asset Bonus Annual Rate is 0.00%.

The Segment Proceeds, after deducting any loan transfers made pursuant to Section 10, are then allocated according to your instructions, subject to the restrictions described in Section 9. If no allocation instructions are given, Segment Proceeds are allocated to a new Segment in the same Indexed Account.

### Discontinuation or Change of an Index

If the Index is discontinued or if the calculation of an Index is substantially changed, we may substitute a comparable index, and any such substitution is subject to approval by the Interstate Insurance Product Regulation Commission. We will notify you and any assignee on record of the substitution before a substitute index is used.

## 9. ALLOCATIONS AND TRANSFERS

Both Net Premium and Segment Proceeds allocation instructions are initially elected on your application for this policy. You may elect to change your allocation instructions for future premium payments and maturing Segment Proceeds at any time. Changes to those instructions must be made by Written Request.

### Premium Allocations

We process Net Premiums as described in Section 7. We will allocate the Net Premiums as instructed to the Guaranteed Interest Account and any Indexed Account of the Index Appreciation Account. Net Premiums received by us prior to the Lock In Date and allocated to an Indexed Account will be included in the Initial Segment Balance for a new Segment at that Segment Initiation Date. Net Premiums received by us after a Lock In Date and allocated to an Indexed Account will be included in an Initial Segment Balance for a new Segment on the next following Segment Initiation Date. Any change you request to premium allocation instructions will affect the allocation of future premiums, but not change the allocation of any previous premium payments made. Net Premium allocation instructions are subject to a Lock Out Period following a withdrawal from a Segment as described in Section 11.

### Segment Proceeds Allocations

On the Segment Maturity Date maturing Segment Proceeds are allocated to the Guaranteed Interest Account and any Indexed Account of the Index Appreciation Account per your Segment Proceeds allocation instructions. Indexed Account Segment Proceeds allocation instructions received by us after the Lock In Date will only apply to Indexed Account Segments maturing on the next following Segment Maturity Date.

### Transfers to the Index Appreciation Account

While the policy is In Force, a Written Request may be given to us at any time to transfer portions of the Policy Value from the Guaranteed Interest Account to any Indexed Accounts of the Index Appreciation Account. Transfers will take effect on the next Business Day, subject to a Lock Out Period following a withdrawal from a Segment as described in Section 11. Amounts transferred to any Indexed Account of the Index Appreciation Account prior to the Lock In Date will be included in the Indexed Account's Initial Segment Balance at that Segment Initiation Date. Amounts transferred to any Indexed Account of the Index Appreciation Account after a Lock In Date will be included in the Initial Segment Balance on the next following Segment Initiation Date. A request to transfer Policy Value may be specified as a dollar amount or a percentage of the Guaranteed Interest Account.

SAMPLE

## 9. ALLOCATIONS AND TRANSFERS (continued)

**General Requirements for Allocations and Transfers**

(a) Written Requests received before a previous request is executed will supersede the earlier request;

(b) if the balance in the Guaranteed Interest Account is insufficient to cover the full amount of a transfer, then the entire amount in the account will be transferred and the transfer will be considered complete; and

(c) transfers from the Segments of the Indexed Accounts are not allowed.

We reserve the right to impose additional allocation and transfer requirements which may include, but are not limited to restricting:

(a) the number and frequency of transfers;

(b) the methods used to submit allocation and transfer instructions; and

(c) allocations and transfers to the Indexed Accounts of the Index Appreciation Account.

**Cancellation of a Holding Segment**

You may cancel a Holding Segment by submitting a Written Request no later than the Lock In Date. A cancellation will result in a direction of amounts in a Holding Segment to the Guaranteed Interest Account.

## 10. LOANS

At any time while this policy is In Force and there is Available Loan Value, you can apply for a loan by Written Request. Each loan must be at least equal to the Minimum Loan Amount shown in Section 1. The Policy Value serves as the only security for a loan, and as such, we may require a signed loan document to formalize this agreement. We may defer loans as provided in Section 22. Loans may not be made if the policy is in the Grace Period as described in Section 12.

**Available Loan Value**

The Available Loan Value is a projection of the Net Cash Surrender Value we make at the time you apply for a loan. The Available Loan Value on any date will be an amount equal to the Cash Surrender Value as adjusted by the following:

(i) projecting the Available Loan Value at the Minimum Guaranteed Interest Account Annual Rate from the date of the loan to the following Policy Anniversary assuming no premiums and no withdrawals; and

(ii) the Available Loan Value is reduced by the Policy Debt; and

(iii) the Available Loan Value is reduced by loan interest in advance to the end of the current Policy Year.

In no event, however, will the Available Loan Value be less than 90% of the Net Cash Surrender Value. Values will be determined, subject to Section 25, as of the end of the Business Day on which the loan application is received at our Service Office.

**Loan Repayment**

You may repay the Policy Debt in whole or in part at any time prior to the death of the Life Insured and while the policy is In Force.

Subject to any supplementary benefit rider, endorsement, or other provisions, while a loan exists, we will treat any amounts you pay as premiums, unless you submit to us a Written Request that they be treated as loan repayments.

**Loan Options**

When you request a policy loan, you may choose between a Standard Loan or an Index Loan; each of these loan options is described below. Only the Standard Loan option is available during the first three Policy Years.

SAMPLE

### Loan Interest Charged

Interest will accrue daily on Policy Debt at an effective rate equal to the Loan Interest Charged Annual Rate, as described below. This rate will apply to both the portion of debt that is collateralized by the Loan Account and the portion collateralized by the Index Appreciation Account.

Loan interest is charged in arrears and is due on each Annual Processing Date, the effective date of a loan option change described below, and on any date you make a loan repayment. Accrued interest may be paid at any time. In the event that you do not pay the Loan Interest Charged when it is due, the accrued loan interest will be borrowed against the policy (capitalized) as described below, and added to the Policy Debt on the Annual Processing Date.

Loan interest will continue to be charged, as described in Section 15, when Monthly Deductions and premium payments cease at the Life Insured's Age 121.

### Loan Interest Charged Annual Rate

The Loan Interest Charged Annual Rate is variable. We set this rate each year at your Policy Anniversary and it does not change during the Policy Year. It will not exceed the greater of (a) and (b), each as of the calendar month ending two months before the beginning of the month in which your Policy Anniversary falls, where:

(a) is the current rate of interest credited to the Guaranteed Interest Account plus 1% per annum; and

(b) is the Moody's Corporate Bond Yield Average-Monthly Average Corporates.

For example, when calculating the Loan Interest Charged Annual Rate for policies with April anniversaries, we will use January rates for the rates referenced in (a) and (b) above.

We will only adjust the Loan Interest Charged Annual Rate if the greater of (a) and (b) above is at least one-half of one percent greater or less than the rate we set for the previous Policy Year. Otherwise, we will leave the Loan Interest Charged Annual Rate unchanged. The Loan Interest Charged Annual Rate will never exceed the Maximum Loan Interest Charged Annual Rate shown in Section 1.

Moody's Corporate Bond Yield Average-Monthly Average Corporates referred to above is published in the United States by Moody's Investors Service, Inc. In the event it is no longer published, we will use a similar average published by another United States bond rating agency.

We will increase the Loan Interest Charged Annual Rate at any time we determine that the rate being charged would cause a loan to be taxable under any applicable ruling, regulation, or court decision. In such case, we will increase the Loan Interest Charged Annual Rate to a rate that we determine would result in the transaction being treated as a loan under federal tax law.

### Loan Account Interest Credited

Interest is credited to the Loan Account and accrues daily. The annual effective rate of interest credited to the Loan Account is equal to the Loan Interest Charged Annual Rate minus the Loan Interest Credited Differential. The Loan Interest Credited Differential will not exceed the Maximum Loan Interest Credited Differential shown in Section 1.

We may adjust the Loan Interest Credited Differential at any time based on our expectations for future experience including investment earnings, persistency, mortality, expenses, taxes, reserve and capital requirements, and reinsurance costs.

### Standard Loan Option

When you take a loan, or when accrued interest is capitalized under the Standard Loan option, we first transfer, to the extent possible, an amount from the Guaranteed Interest Account to the Loan Account. If you take a loan, the transfer amount will be equal to the amount of the loan. If accrued interest is capitalized, the transfer amount will be equal to the amount of capitalized interest minus the cumulative amount of Loan Account Interest Credited since the date loan interest was last capitalized, or the Policy Date if none. If the Policy Value in the Guaranteed Interest Account is insufficient to complete this transfer, then we will next transfer, to the extent possible, an amount equal to the remaining transfer from any Holding Segment to the Loan Account. If there is insufficient Policy Value in the Holding Segments to complete this transfer, we will then increase the balance of the Index Loan Principal by the remaining amount.

SAMPLE

On each Processing Date and each Segment Maturity Date, when the Index Loan Principal is greater than zero, we will reduce the Index Loan Principal to the extent possible, by transferring to the Loan Account, an amount up to the Index Loan Principal. This amount will be taken from any Policy Value in the Guaranteed Interest Account, any Holding Segment, and any Segment Proceeds. The Index Loan Principal is reduced by the amount of the transfer. After the transfer, any remaining Segment Proceeds are then allocated according to your Segment Proceeds allocation instructions.

When you make a loan repayment under the Standard Loan option, we first reduce the Index Loan Principal, to the extent possible, by the amount of the loan repayment. If any loan repayment remains, we will transfer the remaining amount, to the extent possible, from the Loan Account to the Guaranteed Interest Account.

**Index Loan Option**

When you take a loan or when accrued interest is capitalized under the Index Loan option, we will collateralize the loan or accrued loan interest by increasing the Index Loan Principal or transferring amounts from the Guaranteed Interest Account to the Loan Account. If you take a loan, the amount that is collateralized is equal to the loan amount. If accrued interest is capitalized, the amount that is collateralized is equal to the amount of capitalized loan interest minus the cumulative amount of Loan Account Interest Credited since the date loan interest was last capitalized or the Policy Date if none. To collateralize the loan or accrued loan interest, we will first increase the Index Loan Principal by the amount that is collateralized, to the extent possible such that the Index Loan Principal does not exceed the Index Appreciation Account value. If the Index Loan Principal cannot be increased by the full amount that is collateralized, we then transfer any remaining amount from the Guaranteed Interest Account to the Loan Account.

When you make a loan repayment under the Index Loan option, we first transfer, to the extent possible, an amount equal to the loan repayment from the Loan Account to the Guaranteed Interest Account. If the value in the Loan Account is insufficient to complete this transfer, we will then reduce the Index Loan Principal, to the extent possible, by any remaining amount.

**Loan Option Change**

Your choice of loan option stays in effect for as long as any Policy Debt remains, unless we receive your Written Request for a loan option change. A loan option change may only be requested once in each Policy Year as described in the Loan Option Change provision below. In the case of a loan option change from the Index Loan option to the Standard Loan option, beginning on the Policy Anniversary following your Written Request, we will first transfer an amount up to the Index Loan Principal from the Guaranteed Interest Account to the Loan Account and reduce the Index Loan Principal by the amount of the transfer. If there is any remaining Index Loan Principal, we will transfer an amount up to the Index Loan Principal from any Holding Segments to the Loan Account and reduce the Index Loan Principal by the amount of the transfer.

If there is any remaining Index Loan Principal, then on each Processing Date and each Segment Maturity Date, subsequent to this loan option change, we will transfer an amount up to the remaining Index Loan Principal from the Guaranteed Interest Account, any Holding Segments, and any Segment Proceeds to the Loan Account and reduce the Index Loan Principal by the amount of the transfer. After a transfer from maturing Segment Proceeds to the Loan Account, any remaining Segment Proceeds are then allocated according to your Segment Proceeds allocation instructions.

In the case of a loan option change from the Standard Loan option to the Index Loan option, on the Policy Anniversary following your Written Request, we will transfer the balance of the Loan Account to the Capped Indexed Account and increase the Index Loan Principal by the amount of the transfer.

SAMPLE

## 11. SURRENDERS AND WITHDRAWALS

**Surrender of the Policy**

You may surrender this policy upon Written Request for its Net Cash Surrender Value at any date prior to the death of the Life Insured. The Net Cash Surrender Value on the Surrender Date will not be less than the Net Cash Surrender Value on the preceding Processing Date adjusted for any loans, withdrawals or premium payments made since the preceding Processing Date. We will determine the Net Cash Surrender Value on the Surrender Date. We will process the request and pay the Net Cash Surrender Value only if we have not received due proof that the Life Insured died prior to the Surrender Date. After the Surrender Date, no insurance will be In Force. If you surrender the policy during the Surrender Charge Period, we will deduct a Surrender Charge from the Policy Value in calculating the Net Cash Surrender Value. The Surrender Charge and Surrender Charge Period are shown in Section 1.

**Withdrawals**

Once per Policy Month after the first Policy Year, you may request a withdrawal of part of the Net Cash Surrender Value if available. Requested withdrawals are subject to the following conditions:

(a) without our approval, each withdrawal must be for at least the Minimum Withdrawal Amount shown in Section 1;
(b) after the withdrawal, the remaining Net Cash Surrender Value must be at least equal to three times the Monthly Deductions at the time of the withdrawal;
(c) we will process the withdrawal, thereby reducing the Policy Value, as of the end of the Business Day on which we receive your Written Request;
(d) we will deduct a pro-rata Surrender Charge if the withdrawal reduces the Face Amount during the Surrender Charge Period;
(e) we will reduce the amount of the withdrawal if it would otherwise cause the Face Amount to fall below the Minimum Face Amount shown in Section 1;
(f) we will reduce the amount of the withdrawal if the amount in all accounts is not sufficient to pay the withdrawal and any pro-rata Surrender Charge;
(g) we will allocate the deduction of the withdrawal and any pro-rata Surrender Charge first from the Guaranteed Interest Account, then from amounts in a Holding Segment and then from the Segments of all Indexed Accounts on a pro-rata basis;
(h) on any date when there is a withdrawal from a Segment of any Indexed Account prior to the Segment Maturity Date that is not a Systematic Withdrawal, a Lock Out Period will begin, as described below;
(i) if a Systematic Withdrawal is canceled at any time after they have begun, the rest of the scheduled withdrawals will also be canceled. Subsequent Systematic Withdrawal programs are not allowed to be set up for a twelve-month period from the date of the cancellation; and
(j) Systematic Withdrawals must be set up at least thirty days before the withdrawals are scheduled to begin.

Withdrawals will impact the amount of any Index Segment Interest Credit depending on when they occur, as described in Section 8.

If Death Benefit Option 1 is in effect at the time of the withdrawal, the Face Amount plus any amount payable under a supplementary benefit rider as a result of the Life Insured's death will be reduced.

The reduction is equal to the amount of the withdrawal, if at the time of the withdrawal, the Face Amount plus any amount payable under a supplementary benefit rider as a result of the Life Insured's death is greater than or equal to the Minimum Death Benefit as described in Section 4; otherwise the reduction is equal to the amount (if any) by which the withdrawal exceeds (a) minus (b) with the result divided by (c), where:

(a) is the Minimum Death Benefit;
(b) is the Face Amount plus any amount payable under a supplementary benefit rider as a result of the Life Insured's death; and
(c) is the applicable Minimum Death Benefit Factor for the Life Insured's Age as shown in the Table of Rates in Section 2.

The reduction described above will first reduce any amount payable under a supplementary benefit rider as a result of the Life Insured's death. If any death benefit payable under a supplementary benefit rider is exhausted by the reduction, then we will reduce the Face Amount by any remaining reduction.

SAMPLE

## 11. SURRENDERS AND WITHDRAWALS (continued)

If Death Benefit Option 2 is in effect at the time of the withdrawal, the Policy Value will be reduced but the Face Amount will not be reduced. Your Death Benefit will continue to be determined in accordance with Section 4, subject to this provision.

**Lock Out Period Restriction**

On any date when there is a withdrawal that is not a Systematic Withdrawal from a Segment of any Indexed Account prior to the Segment Maturity Date, a Lock Out Period will begin and will continue for the Lock Out Period specified in Section 1. During a Lock Out Period any portion of Policy Value in a Holding Segment, as well as any additional amounts allocated or transferred to an Indexed Account, will not be included in the Initial Segment Balance for any new Segments until the first Segment Initiation Date after the end of the Lock Out Period.

## 12. GRACE PERIOD

If the Death Benefit Protection feature under your DBP Benefit is in default, has terminated, or the Policy Debt is greater than zero and exceeds the Policy Value, the policy and any supplementary benefit riders will go into default if at the beginning of any Policy Month the Net Cash Surrender Value is less than or equal to zero after we take the Monthly Deductions that are due for that month.

We will allow 61 days from the date the policy goes into default for you to mail the Default Payment described below to bring the policy out of default. This is known as the Grace Period. Any payment sent by U.S. mail must be postmarked within the Grace Period. At least 30 days prior to termination of coverage, we will send notice to your last known address, specifying the amount you must pay to bring the policy out of default. If we have notice of a policy assignment on file at our Service Office, we will also mail a copy of the notice of the amount due to the assignee on record.

**Default Payment**

The amount required to bring the policy out of default, referred to as the Default Payment, is the lesser of (a) or (b) where:

(a) is an amount equal to (i) plus (ii) where:
  - (i) is the amount necessary to bring the Net Cash Surrender Value to zero, if it is less than zero, at the date of default; and
  - (ii) is the amount necessary to keep the Net Cash Surrender Value above zero for the next three Policy Months;

(b) is the Death Benefit Protection Default Payment as described in the DBP Benefit.

When payment is received, in accordance with this Section, any Monthly Deductions that were due and unpaid during the Grace Period will be immediately deducted from the Net Premium and the remaining amount will be applied to the Policy Value.

If the Default Payment has not been mailed by the end of the Grace Period, the policy will terminate. Upon termination of the policy, the remaining Net Cash Surrender Value, if any, will be paid to the owner. If the Life Insured dies during the Grace Period, we will deduct from the Insurance Benefit all Monthly Deductions due and unpaid as of the date of the Life Insured's death. No Insurance Benefit under the policy or any supplementary benefit riders will be in effect after the policy terminates.

## 13. POLICY TERMINATION

This policy terminates on the earliest of the following events:

(a) the end of the Grace Period if we have not received the amount necessary to bring the policy out of default;
(b) surrender of the policy for its Net Cash Surrender Value; or
(c) the death of the Life Insured.

SAMPLE

## 14. REINSTATEMENT

If the policy terminates at the end of a Grace Period in which you did not make the Default Payment, you may apply for reinstatement within three years from the date of default. The policy cannot be reinstated if it has been surrendered for its Net Cash Surrender Value.

The requirements for reinstatement are as follows:

(a) we must receive Written Request for reinstatement; and

(b) reinstatement is subject to approval based on our normal underwriting practices, including Evidence of Insurability for the Life Insured, and for any insureds covered under any supplementary benefit rider that you wish to reinstate.

If we approve your request,

(a) we must receive at our Service Office, within 60 days from the date of approval, a premium equal to the amount that was required to bring the policy out of default immediately prior to termination, plus the amount needed to keep the policy In Force for at least the next three Policy Months;

(b) the reinstatement date will be the date we receive the required payment referenced in (a) above at our Service Office, until which time no coverage will be In Force;

(c) the Face Amount will be reinstated to the same amount it was on the date the policy terminated;

(d) any Surrender Charge will be reinstated to the amount it was at the date of default;

(e) the remaining Surrender Charge Period, if any, will be the same as on the date of default;

(f) the Policy Value on the date of reinstatement, prior to the crediting of any Net Premium paid on the reinstatement, will be equal to the Policy Value on the date the policy terminated;

(g) at reinstatement, your Policy Value as well as the Net Premium received will be allocated to the Guaranteed Interest Account and the Index Appreciation Account according to your current premium allocation instructions. Policy Value allocated to the Index Appreciation Account will create new Segments on the next Segment Initiation Date; and

(h) the outstanding Policy Debt on the date of reinstatement will be equal to the Policy Debt on the date the policy terminated. You have the right at time of reinstatement to repay or reinstate any outstanding Policy Debt.

The Suicide and Incontestability provisions will apply from the reinstatement date as described in Sections 19 and 20.

## 15. COVERAGE AT AND AFTER AGE 121

Provided the policy is In Force at the Life Insured's Age 121 we will continue the policy In Force thereafter subject to the stipulations stated below.

**Death Benefit**

The Death Benefit will be determined in the same manner as specified in Section 4.

**Premiums and Monthly Deductions**

We will not accept any further premium payments except for amounts required to keep the policy In Force. We will cease to take Monthly Deductions for charges listed in Section 1.

SAMPLE

## 15. COVERAGE AT AND AFTER AGE 121 (continued)

**Credited Interest**

We will continue to credit interest to the Policy Value no less frequently than annually. Interest is nonforfeitable after crediting.

**Policy Debt and Default**

Loans will continue to be allowed as described in Section 10. Loan interest will continue to be charged if there is an outstanding loan. Loan repayments will be accepted as well as any amounts required to keep this policy In Force. The policy will go into default at any time the Policy Debt equals or exceeds the Policy Value, as described in Section 10 and Section 12.

**Withdrawals**

Withdrawals will not be allowed.

## 16. OWNER AND BENEFICIARY

Until the Life Insured's death, you can receive any amount payable under the policy and exercise all rights and privileges granted by the policy.

**Change of Owner**

Until the Life Insured's death, you can change the ownership of the policy by Written Request. Unless specified by you, the change will take effect as of the date you signed the Written Request. It will not apply to any payments we made or any action we may have taken before we received your Written Request at our Service Office.

**Trustee Owner**

Should the owner be a trustee, payment to the trustee(s) of any amount to which the trustee(s) is (are) entitled under the policy, either by death or otherwise, will serve as final settlement of the Insurance Benefit.

**Joint Ownership**

Two or more owners will own the policy as joint tenants with right of survivorship, unless otherwise requested on the application or in any subsequent assignment of the policy. On death of any of the owners, the deceased owner's interest in the policy passes to the surviving owner(s).

**Successor Owner**

If an owner dies prior to the death of the Life Insured, a named successor owner will, if then living, have all the owner's rights and interest in the policy. The owner can designate, cancel, or change the designation of successor owner prior to the death of the Life Insured by written agreement provided to us.

The following four provisions will apply unless there is a beneficiary designation in effect that provides otherwise.

**Beneficiary Classification**

You can appoint beneficiaries for the Insurance Benefit in three classes: primary, secondary, and final. Beneficiaries in the same class will share equally in the Insurance Benefit payable to them.

**Payment To Beneficiaries**

We will pay the Insurance Benefit:

(a) to any primary beneficiaries who are alive when the Life Insured dies; or

(b) if no primary beneficiary is then alive, to any secondary beneficiaries who are then alive; or

(c) if no primary or secondary beneficiary is then alive, to any final beneficiaries who are then alive.

SAMPLE

## 16. OWNER AND BENEFICIARY (continued)

**Change Of Beneficiary**

Until the Life Insured's death, you can change the beneficiary by Written Request unless you have made an irrevocable beneficiary designation. If an irrevocable beneficiary is named, such beneficiary cannot be changed without the written consent of the irrevocable beneficiary. We are not responsible if the change does not achieve your purpose. Unless otherwise specified by you, the change will take effect as of the date you signed such request. It will not apply to any payments we made or any action we may have taken before we received your Written Request.

**Death Of Beneficiary**

If no beneficiary is alive when the Life Insured dies, the Insurance Benefit will be payable to you; or if you are the Life Insured, to your estate. Unless otherwise provided, if a beneficiary dies before the seventh day after the death of the Life Insured, we will pay the Insurance Benefit as if the beneficiary had died before the Life Insured.

## 17. ASSIGNMENT

Your interest in this policy may be assigned with the written consent of any irrevocable beneficiary. Your interest, any interest of the Life Insured and of any revocable beneficiary shall be subject to the terms of the assignment, but such assignment shall not affect the interest of any irrevocable beneficiary. Unless otherwise specified by you, any assignment will take effect on the date the notice of assignment is signed by you; however, it will not apply to any payments made or actions taken by us prior to receipt of notice.

We will not be on notice of any assignment unless it is in writing, nor will we be on notice until a copy of the original assignment has been received at our Service Office. We assume no responsibility for the validity or sufficiency of any assignment.

## 18. MISSTATEMENTS

If the sex (if issued on a sex distinct basis) or age of the Life Insured was misstated in the application, we will, if necessary, change the Face Amount and every other benefit to that which would have been purchased at the correct sex (if issued on a sex distinct basis) or age by the most recent Cost of Insurance Charge.

## 19. SUICIDE

If the Life Insured commits suicide, while sane or insane, within [two years] from the Issue Date or within [two years] from the reinstatement date, the policy will terminate on the date of such suicide and we will pay (in place of all other benefits, if any) an amount equal to the premiums paid less the amount of any Policy Debt on the date of death and less any withdrawals.

If the Life Insured commits suicide, while sane or insane, after [two years] from the Issue Date and within [two years] from the effective date of any increase in the Insurance Benefit requiring Evidence of Insurability, the benefits payable under the policy will not include the amount of such Insurance Benefit increase but will include the amount of premium that pertains to the increase.

We reserve the right under this provision to obtain evidence of the manner and cause of death of the Life Insured.

SAMPLE

## 20. INCONTESTABILITY

Except for non-payment of premium and fraud in the procurement of this policy to the extent permitted by applicable state law, this policy shall be incontestable after it has been In Force for two years from the Issue Date during the lifetime of the Life Insured. Any contest will be based on material misrepresentations made in the application for this policy.

In the case of reinstatement or any policy change requiring Evidence of Insurability, the original contestable period will continue to apply. In addition, a new two-year contestable period will apply from the effective date of such reinstatement or policy change during the lifetime of the Life Insured. Any contest will be based only on material misrepresentations made in the application for reinstatement or policy change, unless the original contestability period is not yet expired.

Any premium payment that we accept subject to Evidence of Insurability, and any increase in Insurance Benefit resulting from such payment, shall be considered a policy change for purposes of this Section.

We reserve the right under this provision to obtain evidence of the manner and cause of death of the Life Insured.

## 21. THE CONTRACT

The written application for the policy is attached at issue. The entire contract between the applicant and us consists of the policy, such application, and any riders and endorsements. However, additional Written Requests or applications for policy changes or acceptance of excess payment may be submitted to us after issue and such additional requests may, if approved, become part of the policy.

All statements made in any application shall, in the absence of fraud, be deemed representations and not warranties. We will use no statement made by or on behalf of the Life Insured to defend a claim under the policy unless it is in a written application.

An exchange of this policy for a new policy on a different plan may be made by agreement between you and us in accordance with our published rules in effect at that time.

We reserve the right to make any changes necessary in order to keep this policy in compliance with any changes in federal or state tax laws. Other changes in this policy may be made by agreement between you and us. Only the President, Vice President, the Secretary, or an Assistant Secretary of the Company has authority to waive or agree to change in any respect any of the conditions or provisions of the policy, or to extend credit or to make an agreement for us.

**Addition of Post-Issue Riders**

You may apply to add any applicable supplementary benefit rider to your policy that we currently make available for addition after issue. Your application is subject to approval based on our then-current eligibility requirements for the issuance of the applicable supplementary benefit rider, which may include Evidence of Insurability.

## 22. RIGHT TO POSTPONE PAYMENT OF BENEFITS

We reserve the right to postpone the payment of Net Cash Surrender Values, withdrawals, and policy loans for up to six months after we receive such Written Request, except when required to make a premium payment.

## 23. CLAIMS OF CREDITORS

The proceeds and any income payments under the policy will be exempt from the claims of creditors to the extent permitted by law. These proceeds and payments may not be assigned or withdrawn before becoming payable without our agreement.

SAMPLE

## 24. REPORTS TO OWNER

Within 30 days after each Policy Anniversary, we will send you a report at no charge showing:

(a) the beginning and end dates of the current report;
(b) the Death Benefit at the end of the current report period;
(c) the amounts credited or debited to the Policy Value during the current period, identified by type;
(d) the Loan Account balance and the Index Loan Principal balance, if any, at the end of the current report period;
(e) the Cash Surrender Value, if any, at the end of the current report period;
(f) the Policy Value, if any, at the beginning and at the end of the current report period;
(g) if applicable, a notice stating that unless premium payments are made, assuming guaranteed interest, mortality and expense charges, the Net Cash Surrender Value will not be sufficient to maintain the policy In Force until the end of the next reporting period; and
(h) any further information required by law.

Upon request, we will provide you with a current policy illustration. We will provide one illustration annually without charge. For additional illustrations you request, we reserve the right to charge a reasonable fee, not to exceed $50.

## 25. HOW VALUES ARE COMPUTED

We provide Cash Surrender Values that are at least equal to those required by law or pursuant to Section 6A of the NAIC Universal Life Insurance Regulation, Model 585.

We base any minimum Cash Surrender Values on the Commissioners Standard Ordinary Mortality Tables, as described under “Policy Value Calculation” in Section 1.

A detailed statement that describes the mortality table, interest rate, and method used in calculating cash values and a statement of the basis of the charges and the method of computation of this policy has been filed with the Interstate Insurance Product Regulation Commission.

## 26. INTEREST ON PROCEEDS

We will pay interest on the Insurance Benefit proceeds as follows:

(a) interest shall accrue and be payable from the date of the Life Insured’s death;
(b) interest shall accrue at the rate or rates applicable to the policy for funds left on deposit or, if we have not established a rate for funds left on deposit, at the Two Year Treasury Constant Maturity Rate as published by the Federal Reserve. In determining these rates, we will use the rate in effect on the date of death;
(c) interest shall accrue at the effective annual rate determined in item (b) above, plus additional interest at a rate of 10% annually beginning with the date that is 31 calendar days from the latest of items (i), (ii), and (iii) to the date the claim is paid, where it is:
    (i) the date that due proof of death is received by us;
    (ii) the date we receive sufficient information to determine our liability, the extent of the liability, and the appropriate payee legally entitled to the proceeds; and
    (iii) the date that legal impediments to payment of proceeds that depend on the action of parties other than the Company are resolved and sufficient evidence of the same is provided to the Company. Legal impediments to payment include, but are not limited to: (a) the establishment of guardianships and conservatorships; (b) the appointment and qualification of trustees, executors, and administrators; and (c) the submission of information required to satisfy state and federal reporting requirements.

SAMPLE

## 27. QUALIFICATION AS LIFE INSURANCE

It is intended that this policy comply with the definition of a "life insurance contract" set forth in the federal income tax laws so that, notwithstanding any other provisions of the policy to the contrary, it will be considered as life insurance for federal income tax purposes. We reserve the right to make any reasonable adjustments to the terms or conditions of this policy if it becomes necessary to allow it to qualify as life insurance. This provision should not be construed to guarantee that this policy will receive tax treatment as life insurance or that the tax treatment of life insurance will never be changed by the future actions of any tax authority. This policy uses the Cash Value Accumulation Test as its life insurance qualification test. Under this test, the Minimum Death Benefit, as described in Section 4, must be maintained.

**Federal tax law is currently unclear as to the tax status of a life insurance policy after the Life Insured reaches Age 100. Any policy continued beyond Age 100 may not qualify as life insurance for tax purposes and may be subject to adverse tax consequences. Please consult a tax advisor before choosing to continue this policy after Age 100.**

**Effect of Policy Changes on Life Insurance Qualification Test**

A change in Death Benefit Option, Face Amount, Risk Classification, Additional Rating, or certain other policy changes, will often change the policy's limits under federal income tax law.

If the policy change would result in the Minimum Death Benefit exceeding the Face Amount, we reserve the right to:

(a) distribute to you a portion of the Policy Value such that the resulting Minimum Death Benefit does not exceed the Face Amount; or

(b) accept the additional Death Benefit subject to our normal underwriting practices including Evidence of Insurability.

## 28. CONFORMITY WITH INTERSTATE INSURANCE PRODUCT REGULATION COMMISSION STANDARDS

This policy form was approved under the authority of the Interstate Insurance Product Regulation Commission and issued under the Commission's standards. Any provision of this policy that on the provision's effective date is in conflict with the applicable Interstate Insurance Product Regulation Commission standards for this product type in effect as of the provision's effective date of Commission policy approval is hereby amended to conform to the applicable Interstate Insurance Product Regulation Commission standards in effect as of the provision's effective date of Commission policy approval.

SAMPLE

SAMPLE

Communications about this policy may be sent to the Company's Service Office, which is currently at [200 Berkeley Street, Boston, Massachusetts 02116-5023]. Our toll-free number is [1-800-387-2747].

Flexible Premium Indexed Universal Life Insurance policy
Adjustable Death Benefit
Indexed-Linked Interest Option
Benefit payable on Life Insured's death
Flexible premiums payable to Age 121 during the Life Insured's lifetime
Non-Participating (Not eligible for dividends)
Benefits, Values, Periods of Coverage, and Premiums are on an indeterminate basis.